Chapter 26 – Name Maanvik Poddar Date 3/13/25

Objectives

- **Name** three pricing policies used to establish a base price.
- **Explain** two popular pricing strategies for introducing a new product.
- **Explain** the relationship between pricing and the product life cycle.

The Main Idea

It is important to establish a base price from which price adjustments can be made. Various situations and company policies can affect the pricing of a product. **Determining the Base Price**:

Demand- Oriented Pricing	**Competition-Oriented Pricing**	**Cost-Oriented Pricing**
Customer's Perceived value'	No relationship between cost and price	Price set by actual cost
Supply-and-demand theory	Price entirely based on completion	projected profit margin added to costs

Three Strategies Used for Setting Base Prices

Demand -Oriented Pricing

- Attempt to determine what consumers are willing to pay
- Relies on premises of supply-and-demand theory and demand elasticity factors

Competition -Oriented Pricing

- Price above the competition
- Price below the competition
- Price in line with the competition

CALCULATING THE WHOLESALE PRICE

Manufacturer's suggested retail price *(MSRP)*	$100
Retailer's markup *(40% of retail price)*	– $40
Wholesaler's price to retailer *(subtract markup from MSRP)*	= $60
Wholesaler's markup *(20% of wholesale price)*	– $12
Manufacturer's price to wholesaler * *(subtract wholesaler's markup from wholesaler's price)*	= $48
* *This amount must cover costs, expenses, and profit*	

Cost -Oriented Pricing

- Resellers calculate prices using the concept of markup
- Used by wholesalers and retailers

Markup - The difference between an item's cost and sale price.

CALCULATING THE RETAIL PRICE

Cost of producing the item	$40
Manufacturer's expenses and intended profit *(20% of cost)*	– $8
Manufacturer's price to wholesaler *(Cost plus expenses and intended profit margin)*	= $48
Wholesaler's markup *(25% of price wholesaler paid for item)*	+ $12
Wholesaler's price to retailer *(Price to wholesaler + markup)*	= $60
Retailer's markup *(66.67% based on price paid to wholesaler)*	+ $40
Retailer's base price to consumer	= $100

One-Price Versus Flexible-Price Policy

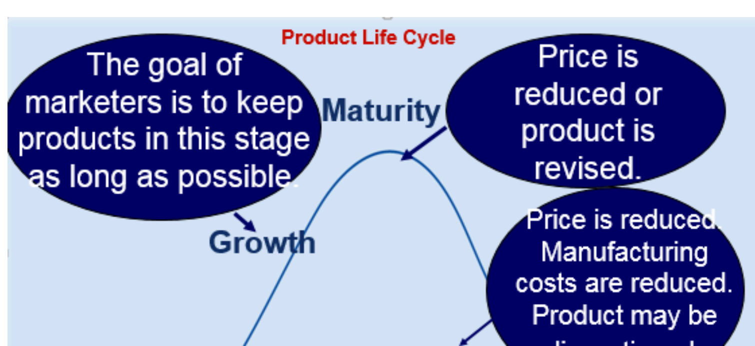
One **-price policy -** A policy in which all customers are charged the same prices.

Flexible **-price policy -** A policy in which customers pay different prices for the same type or amount of merchandise.

New Product Introduction:

Skimming pricing

A pricing policy that sets a very high price for a new product.



Penetration pricing

Setting the price for a new product very low to encourage as many as possible to buy the product

Common psychological Pricing Strategies

- Psychological **pricing refers to techniques that create an illusion for customers or that make shopping easier for them.**
- Odd **-even pricing involves setting prices that end in either odd or even numbers. Odd numbers convey a bargain image; even numbers convey quality.**
- Prestige **pricing involves setting higher-than-average prices to suggest status and prestige.**
- Multiple **-unit pricing involves pricing items in multiples to suggest a bargain and increase sales volume. *"Buy 2 Get the 3rd Free"***
- Loss **-leader pricing provides items at cost to attract customers**
- **Special-event pricing – prices are reduced for a short period of time, such as a holiday sale.**
- Everyday **low prices (EDLP) are low prices that are set on a consistent basis with no intention of raising them or offering discounts in the future.**
- **Price** bundling **is the practice of combining several related services for one price.**

STEPS USED TO DETERMINE PRICE

Step 1 – Establish Pricing Objectives Must be Specific, Time-sensitive, Realistic & Measurable
Step 2 – Determine **Costs** – Consider ALL costs involved
Step3 – Estimate Demand **-** Research public reception of product/service based on supply & demand theory
Step 4 – Study Competition **–** Investigate what prices competitors are charging for similar products/services.
Step 5 – Decide on Pricing Strategy **–** Be sure your pricing strategy conforms to pricing objectives.
Step 6 – Set Price & Adjustments **-** Decide on price. How often will you change your final published prices?

Pricing Technology

Smart Pricing: Decisions are based on large amounts of data .
Electronic **shelves & digital price** tags**:** Retailers can change prices quickly and easily. Many stores already use kiosks where customers can check prices, as well as self-checkout counters.

Dynamic **Pricing:** A strategy in which product prices continuously adjust, sometimes in a matter of minutes, in response to real-time supply and demand.